

proxy contests and media campaigns to unseat entrenched managements. Evans was the prime mover of his day, taking Graham's liquidation value analysis and using it to wreak havoc on the gray flannel suits of the 1940s and 1950s. He waged numerous takeover battles using tactics that are forerunners of those employed by many of the modern-day activists. Born September 8, 1910, in Pittsburgh and orphaned at the age of 11, Evans grew up poor. Despite his famous middle name—his grandmother's first cousin was Andrew Mellon, the industrialist and Secretary of the Treasury under Presidents Harding, Coolidge, and Hoover—he began his financial career at the bottom. After graduating from Yale University in 1931 in the teeth of the Great Depression, he landed a \$100-a-month clerk job at Gulf Oil. While his friends headed out in the evening, Evans would stay home reading financial statements and looking for promising companies, those he could buy for less than liquidation value.

In *Security Analysis* Graham had outlined a clever short cut to calculating liquidation value, which examined a company's working capital as a rough, but usually conservative, proxy for the liquidation value. Graham called this calculation the *net current asset* value. Employing Graham's technique, Evans found stocks selling for less than liquidation value by calculating their net quick assets, another name for the most liquid portion of Graham's net current asset value. His friends teased him about his obsession, so much so that they gave him the nickname "Net Quick" Evans.³⁴ In 1939 Evans got control of the dilapidated H. K. Porter Co., a builder of industrial locomotives, by buying its distressed bonds at 10 to 15 cents on the dollar. He reorganized the company, converting his bonds into equity, and became president at age 28. From then on, "Net Quick" Evans was the "slick-haired, aggressive"³⁵ terror of the sleepy boardrooms of the era, much like the stereotype of the corporate raiders in the 1980s.

Even Warren Buffett, Graham's most apt student, tried his hand as a liquidator, briefly turning to Graham-style shareholder activism in his own investment partnership. He obtained control of Dempster Mill Manufacturing Company³⁶ in the early 1960s through a majority shareholding and board seat before almost completely liquidating it. In the process he incurred the wrath of the town of Beatrice, Nebraska, when he proposed to liquidate the plant there. After a vitriolic campaign waged by the townsfolk and supported by the local paper, Buffett eventually sold Dempster at book value—its almost wholly liquidated assets consisting of just cash, marketable securities, and the plant in Beatrice—to the founder's grandson and his investor group. While it was a typically profitable investment for Buffett, he was scarred by the animosity directed at him, and vowed never to do it again.³⁷

Like Graham, Icahn had no such qualms. Icahn's biographer Mark Stevens, describing his rapid ascent from discount options broker to